Insurance Corporation of India, and General Insurance Corporation and its subsidiaries, this was largely due to the nationalization of these institutions. H.T. Parekh observes in his account of ICICI, 'The interest-free and long-term character of the government's rupee advance was thus crucial for the success of ICICI in its early years. The facility which government extended to ICICI was not previously available to IFCI, nor to State Financial Corporations…Later, when IDBI was established and the Industrial Reconstruction Corporation of India was set up, Government of India granted interest-free loans to these institutions at the time of their launching.'[9]

A year was taken in formulating basic guidelines in policy and in establishing relationships with the RBI and other financial institutions, particularly the IFCI. The first Board of Directors comprised ten members, plus a nominee of the Government of India as an ex-officio Director. There were seven Indian Directors and three foreign ones, and among the Indian Directors, adequate emphasis was given to representation from the two major centres of business—Bombay and Calcutta. ICICI's Board of Directors was a high-powered one and comprised persons like Sir Ramaswami Mudaliar as Chairman and A.D. Shroff, G.D. Birla, and Kasturbhai Lalbhai as members. P.S. Beale, a former Secretary of the Bank of England and the man whom B.K Nehru and the Indian delegation had taken to task for his intransigence during the sterling balances negotiations, was appointed its first General Manager. This was in keeping with the World Bank's initial philosophy that the General Manager should be a non-Indian in order to insulate the institution from government and local pressure. But Beale was a difficult man and as we shall see later, created problems in ICICI as well. R.C. Doodhmal, who was one of Shroff's chief lieutenants at the Investment Corporation of India, was connected with ICICI from its inception and was the Secretary and Chief Accountant till he retired in 1974.

Sir Ramaswami Mudaliar, while he was a much respected business leader and an outstanding public figure in India, was only a part-time honorary Chairman. The burden of working out all the preliminaries to the formation of ICICI and raising its equity capital was performed most ably by Shroff. H.T. Parekh, who joined ICICI in 1956 in his A.D. Shroff Memorial Lecture in 1975 said, 'I doubt if ICICI itself could have seen the light of